There Are Essentially Three Tax Bases

First is the output produced by the economic agents—farms, factories, service establishments and so on. The output produced, mostly measured in the form of value added now, has become the basis of all output taxes almost everywhere. These output/value added taxes, usually known as indirect taxation, whether called excise, customs, VAT or GST or by any other name, forms the bedrock of tax revenues.

Second is the income accruing to workers and entrepreneurs, which is taxed as income taxes, corporation tax or in some other name. Physical assets like land and buildings and financial assets like bonds and equity also generate a considerable amount of income in the form of rent, interest, or dividend, etc., in today's increasingly wealthier world. The income taxes form the second largest tax-bases all over the world.

Third, the wealth in the form of personal assets like houses, business assets like farms, factories and digital networks and financial assets in the form of bonds, equities, derivatives and now in cryptocurrencies, has been growing in the world. Wealth has been taxed in the form of wealth taxes, property taxes, estate duties, etc., but relatively sparingly. Wealth grows besides generating income. Wealth is largely in the control of the rich and super-rich. These groups have managed to avoid taxation of valuation gains and income from wealth. The tax on wealth and income generated from wealth is underexplored in the world, and in India.

A Basic Reset of Taxation System Is Urgently Needed

A basic reset of the taxation system would not only institute a fair system of taxation across all segments of economic agents but yield a much larger and steadily increasing source of revenue for the government. This can be achieved with fundamental reforms in our taxation system in three major ways: